



Preliminary Results

2018/19



Martin Scicluna
Chairman



Kevin O'Byrne
Chief Financial Officer

Financial overview

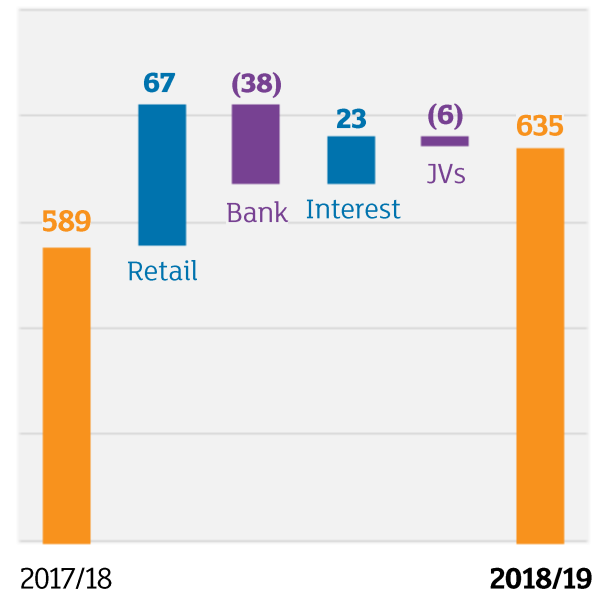
- UPBT up 8%
 - Synergy delivery, food performance, lower interest costs
- Delivered £220m cost savings
- Financial services profits down, in line with guidance
- £396m charges excluded from underlying profit
- Gross capex £554m
- Continued focus on cash generation; retail free cash flow £461m, up 7%
- Net debt £1,636m, ahead of guidance, down £222m since March 2018
- Full year dividend of 11.0p per share, up 8% year on year

Group performance overview

£m	2018/19	2017/18	Change
Underlying results¹			
Group sales (inc VAT)	32,412	31,735	▲ 2%
Retail operating profit	692	625	▲ 11%
Financial Services operating profit	31	69	▼ 55%
Underlying interest costs	(96)	(119)	▼ 19%
Underlying profit before tax	635	589	▲ 8%
Underlying basic EPS	22.0p	20.4p	▲ 8%
Retail free cash flow	461	432	▲ 7%
Dividend per share	11.0p	10.2p	▲ 8%
Net debt (including perpetuals)	(1,636)	(1,858)	▼ 12%
Statutory results			
Items excluded from underlying results	(396)	(180)	
Profit for the financial period after tax	219	309	▼ 29%

¹ Full breakdown of definitions available in the Alternative Performance Measures

UPBT waterfall (£m)



Retail sales

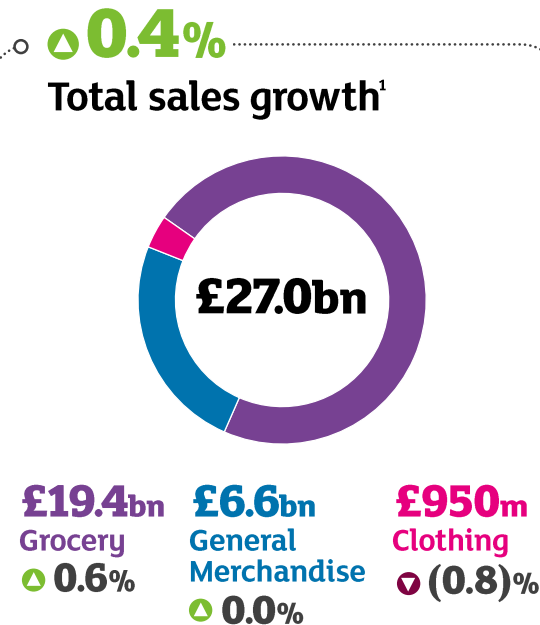
Strong convenience and online growth

▼ **(0.2)%**

LFL sales growth¹

▲ **0.6%**

Sales from
net new space¹



Channels

Supermarkets²

▲ **1.0%**

Convenience

▲ **3.7%**

Groceries
Online

▲ **6.9%**

2019/20 FY Guidance

- Expect to open two new Sainsbury's supermarkets and around 10 convenience stores
- Expect to open around 10 Argos stores in supermarkets (of which three are relocations) resulting in around 290 Argos stores in supermarkets

¹ Sales including VAT, excluding fuel

² Supermarket sales include Argos SiS sales, FY 17/18 2.1%

Financial services

Profits in line with guidance

£m	2018/19	2017/18	Change
Total income ¹	439	451	▼ 3%
Underlying operating profit	31	69	▼ 55%
Customer lending ²	£7.0bn	£5.7bn	▲ 23%
Customer deposits	£6.0bn	£5.0bn	▲ 19%
Active customers - Bank	2.02m	1.92m	▲ 5%
Active customers - Argos FS	2.06m	1.95m	▲ 6%
Cost/income ratio	71%	70%	▲ 100 bps
Net interest margin ³	3.8%	4.9%	▼ 110 bps
Bad debt as a percentage of lending ^{4,5}	1.6%	1.3%	▲ 30 bps
CET 1 ratio ⁶	13.7%	14.1%	40 bps
Total capital ratio ⁷	16.7%	17.1%	40 bps

¹ Net interest, net commission and other operating income

² Amounts due from customers at the Balance Sheet date in respect of loans, mortgages, credit cards and store cards net of provisions

³ Net interest receivable / average interest-bearing assets

⁴ Bad debt expense / average net lending

⁵ Excluding the impact of IFRS 9 implementation in the year, bad debt as a percentage of lending was 1.4%

⁶ Common equity tier 1 capital / risk-weighted assets

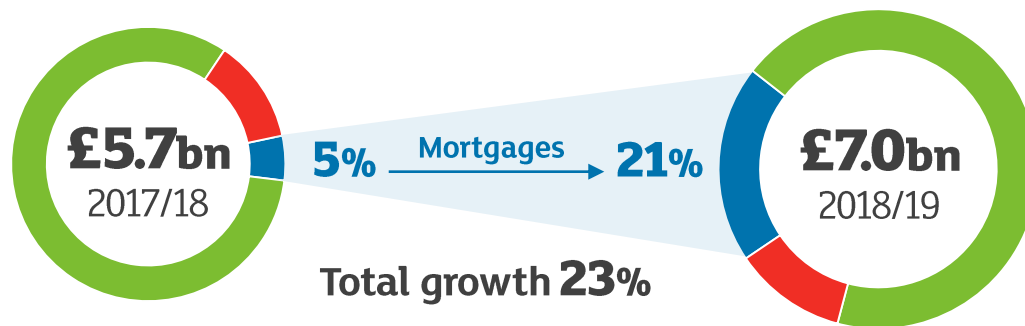
⁷ Total capital / risk-weighted assets

2019/20 FY Guidance

- Financial services underlying operating profit expected to be c.£45m, including a £10m benefit as a result of a change in transfer pricing between Argos and Argos Financial Services
- Transition costs are expected to be around £30m
- Capital injections into the Bank are expected to be £80m

Lending

Mortgage growth boosts secured lending proportion



Mortgages

- Strong growth of £1.1bn in year
- Conservative risk appetite
- LTV of new lending 61%, book 55%

Unsecured

- Selective growth
- Loans balances down slightly - focus on Nectar card holders with lower default rates

Argos cards

- Strong balance growth of 11% driven by an increase in Argos sales penetration
- Funding £1bn of Argos sales
- Average balance c.£400

Items excluded from underlying results¹

£m	2018/19	2017/18
Defined benefit pension expenses	(118)	(5)
Asda transaction costs	(46)	-
Argos integration costs	(40)	(85)
Sainsbury's Bank transition costs	(70)	(38)
Property related	(22)	12
Retail restructuring costs	(81)	(85)
Other items excluded from underlying results	(19)	21
Total	(396)	(180)

2019/20 FY Guidance

- In 2019/20 cash outflows as a result of items excluded from underlying results should not exceed £100m

Sainsbury's Bank

- Transition costs are expected to be around £30m

Retail capital expenditure

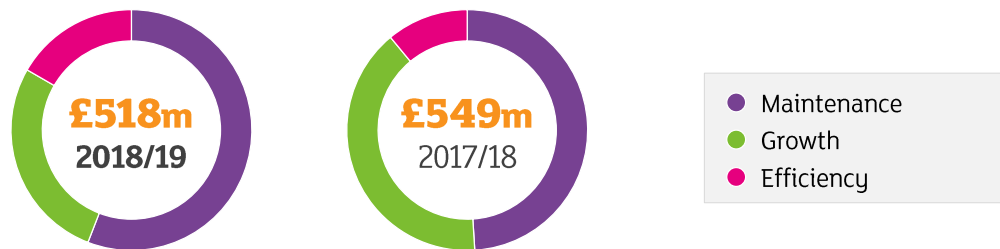
Disciplined spending

£m	2018/19	2017/18
Core retail capital expenditure	518	549
Argos integration capex	36	80
Gross retail capital expenditure	554	629
Proceeds on disposal	(64)	(54)
Net retail capital expenditure	490	575

2019/20 FY Guidance

- Gross retail capital expenditure to be around £550m
- Proceeds from disposal of property are expected to be in line with 2018/19
- Gross retail capital expenditure is expected to be around £550m per annum over the medium term

Core retail capital expenditure



Retail free cash flow

£m	2018/19	2017/18 ¹
Adjusted operating cash flow before changes in working capital²	1,264	1,193
(Increase)/decrease in working capital	(45)	196
Cash generated from operations	1,219	1,389
Pension contribution, net interest paid ³ , corporation tax paid	(213)	(307)
Net cash generated from operating activities	1,006	1,082
Cash capital expenditure before strategic capex ⁴	(512)	(542)
Proceeds from disposal of property, plant and equipment	64	54
Bank capital injections	(110)	(190)
Dividends and distributions received from JVs, net of capital injections	13	28
Retail free cash flow	461	432
Dividends paid on ordinary shares	(224)	(212)
Argos integration	(36)	(80)
Other	(8)	133
Other non-cash and net interest movements ⁵	(31)	(37)
Movement in net debt before fair value movements on derivatives	162	236
Fair value movements on derivatives	60	(123)
Movement in net debt	222	113
Opening net debt including perpetual securities as debt	(1,858)	(1,971)
Closing net debt including perpetual securities as debt	(1,636)	(1,858)

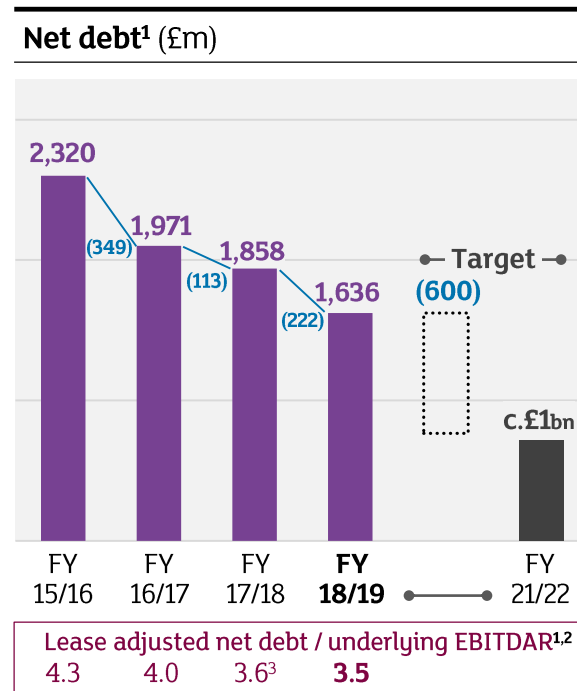
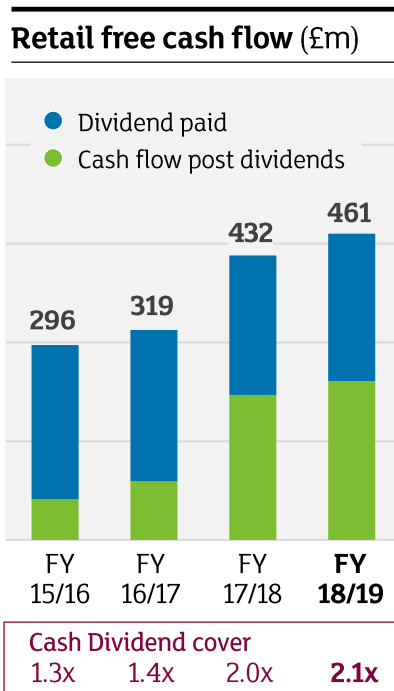
2019/20 FY Guidance

- Capital injections into the Bank are expected to be £80m
- Expect underlying retail depreciation and amortisation of around £720m
- Net debt before fair value movements on derivatives to reduce by at least £200m
- Finance costs in line with 2018/19

- 1 2017/18 retail free cash flow restated to reflect an adjustment of £21 million relating to non-cash pension scheme expenses previously included in retirement benefit obligations. No impact to net cash generated from retail operating activities
- 2 Operating cash flow before changes in working capital and pension contributions
- 3 Interest paid net of interest received, interest elements of obligations under finance lease payments and dividends paid on perpetual securities
- 4 Excludes Argos integration capital expenditure
- 5 Net interest excluding dividends paid on perpetual securities

Balance sheet targets

- Net debt reduction of at least £600m over the next three years
- Medium leverage reduction targets
 - Lease adjusted net debt/EBITDAR less than 3x¹
 - Fixed charge cover greater than 3x



¹ Accounting for the perpetual securities as debt

² Net debt plus capitalised lease obligations (5.5% discount rate) divided by Group underlying EBITDAR

³ 2017/18 lease adjusted net debt/EBITDAR reported as 3.5. 2017/18 capitalised lease obligations of £5,931 million have been updated following a review of lease cost profile. This does not impact total lease obligations of £10 billion

IFRS 16 update

- Fully retrospective transition approach
- No impact on cash or how we run the business
- Opening impacts to 2017/18 balance sheet
 - Recognise lease liability £5.9bn
 - Recognise right of use asset £5.1bn
 - Retained earnings adjustment £0.9bn
 - De-recognition of other balance sheet items £0.1bn
- No impact on leverage
 - IFRS 16 net debt to EBITDAR expected to be in line with previously disclosed lease adjusted levels¹
- Estimated reduction in 2018/19 underlying UPBT of c.£30m, smaller reduction in outer years

Next steps

- During Q2: Pro forma H1 2018/19 and FY 2018/19 key financial statements
- November 2019: Interim results prepared under IFRS 16 basis

¹ Average lease discount rate (IBR) under IFRS16 5.89%. Discount rate for adjusted net debt calculation 5.5%

Summary and Outlook

Good progress

- Underlying profits up 8%
- Retail free cash flow up 7%
- Net debt reduction ahead of target

Outlook

- Net debt reduction of at least £600m over the next three years
- Increased investment in core supermarket estate



Mike Coupe
Group Chief Executive

Our strategy



Sainsbury's
live well for less

608
Supermarkets

820
Locals

c.£1.5bn
Online sales

c.£2.8bn
Convenience sales

Argos

1,200
Argos points
of presence

58%
Sales start online

3rd
Most visited
ecommerce website
in the UK

nectar

habitat 

Sainsbury's Bank

Tu

Our strategy

Priorities

As shopping habits continues to evolve, we are updating our strategic priorities

1

Differentiate food and grocery through **quality, value and service**

2

Grow **General Merchandise and Clothing**

3

Offer our customers **easy access to financial services**

4

Generate **efficiencies to invest in our digital future**

5

Strengthen the balance sheet

1

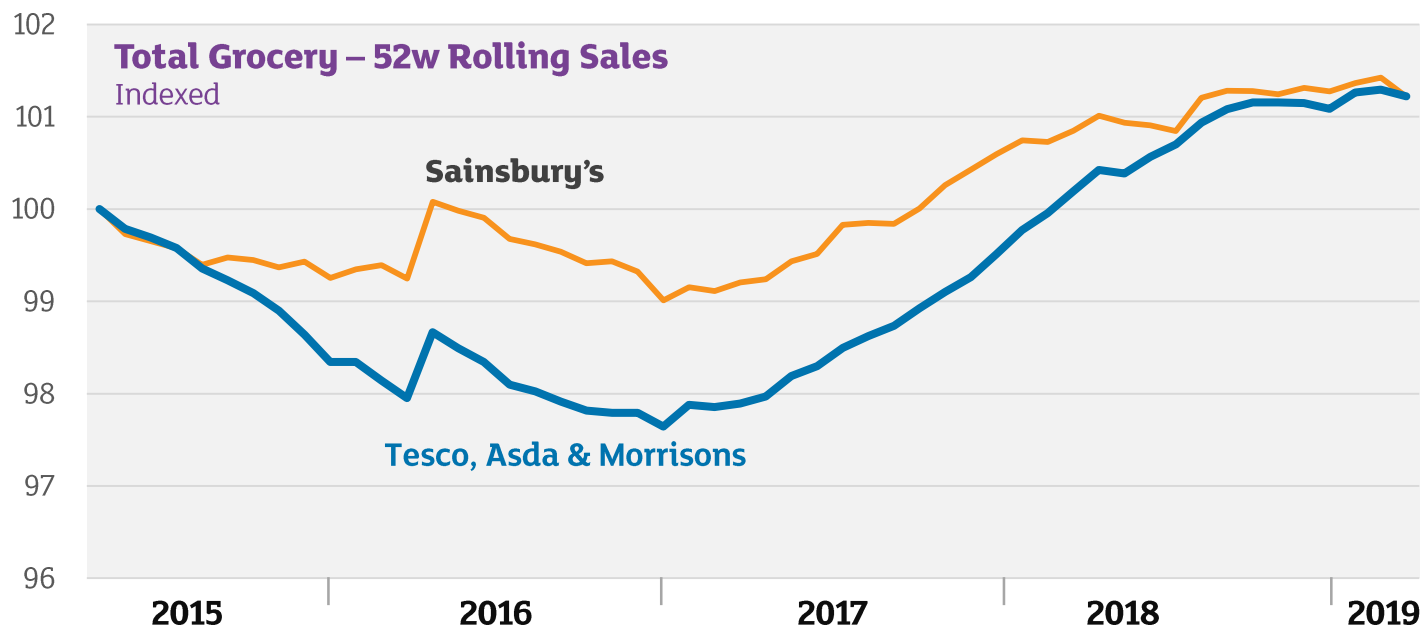
Differentiate
food and
grocery through
quality,
value and
service



Resilient sales performance

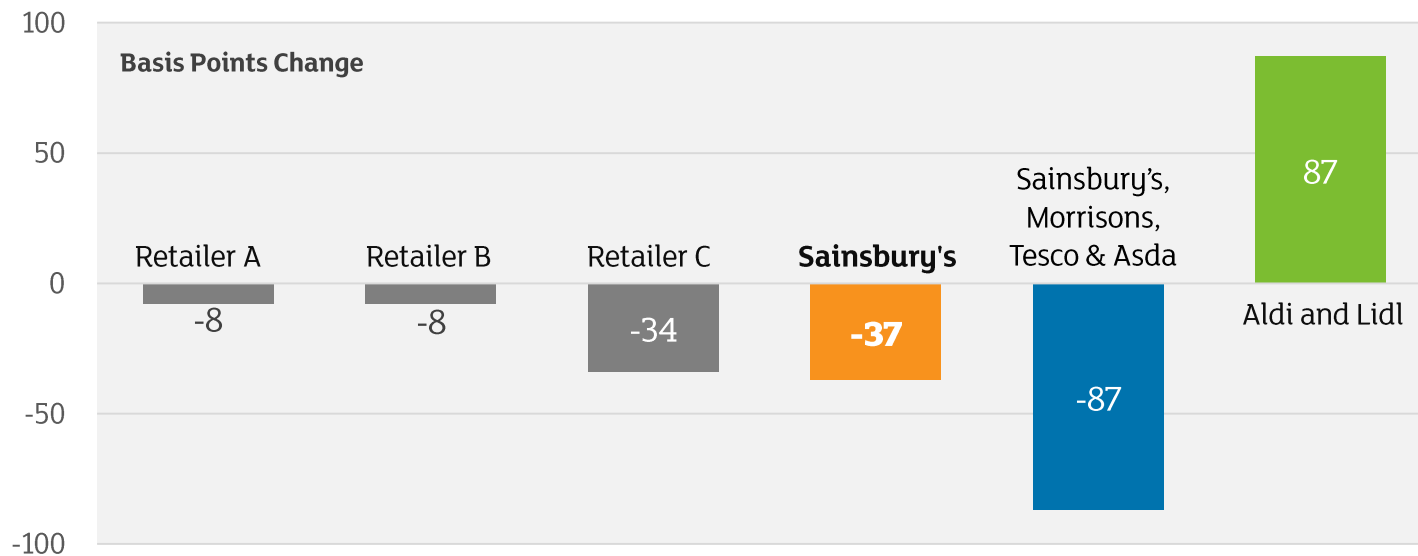
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Differentiate food and grocery through **quality, value** and **service**



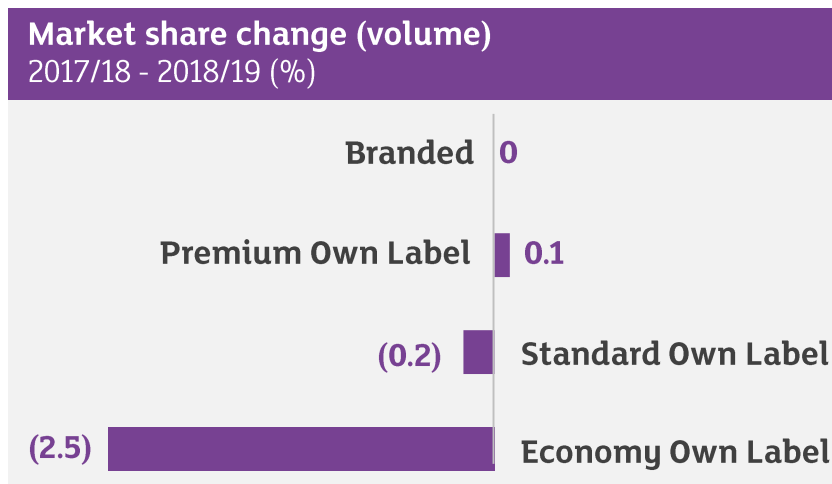
Source: Nielsen Panel, Rolling 52 weeks ending 9 March 2019

Kantar market share 1 year



Source: Kantar Worldpanel, Till Roll, 52 we 24 Feb 2019

Market share performance by product tier



Source: Nielsen Panel, Total FMCG, Market universe; Total Outlets, 52 weeks data to 9 March 2019

Product quality framework

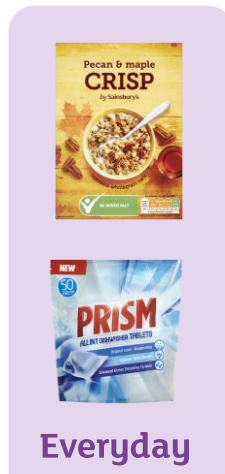
Continue to invest in quality and price where valued most by customers

1

Differentiate food and grocery through **quality, value** and **service**

Deliver distinctive and exclusive products

▲
Importance of
Emotional Quality



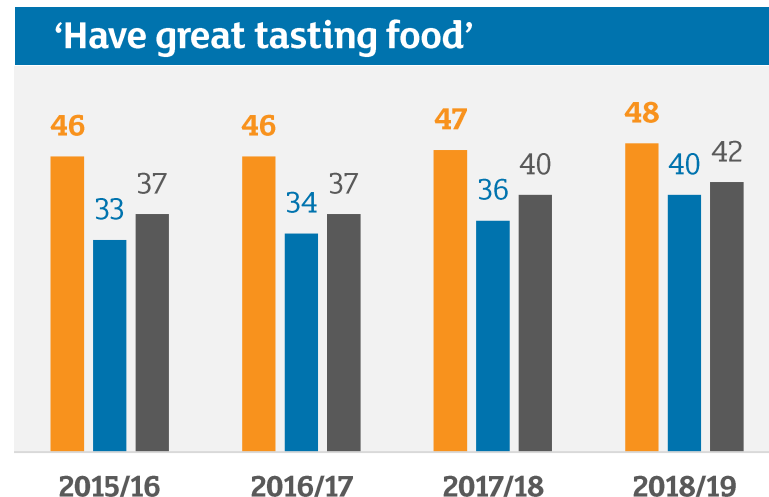
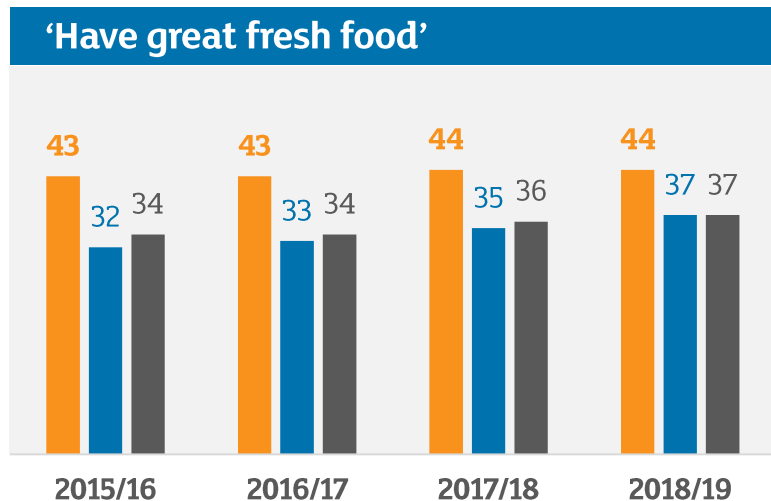
► Importance of Functional Quality

Food quality perceptions

1

Differentiate food and grocery through **quality, value and service**

Deliver distinctive and exclusive products



● Sainsbury's ● Core competitor average ● Competitor average

Source: Sainsbury's Brand Tracker

Base Per period – Total sample (c.1,000) Shopper profile weighted to Nielsen

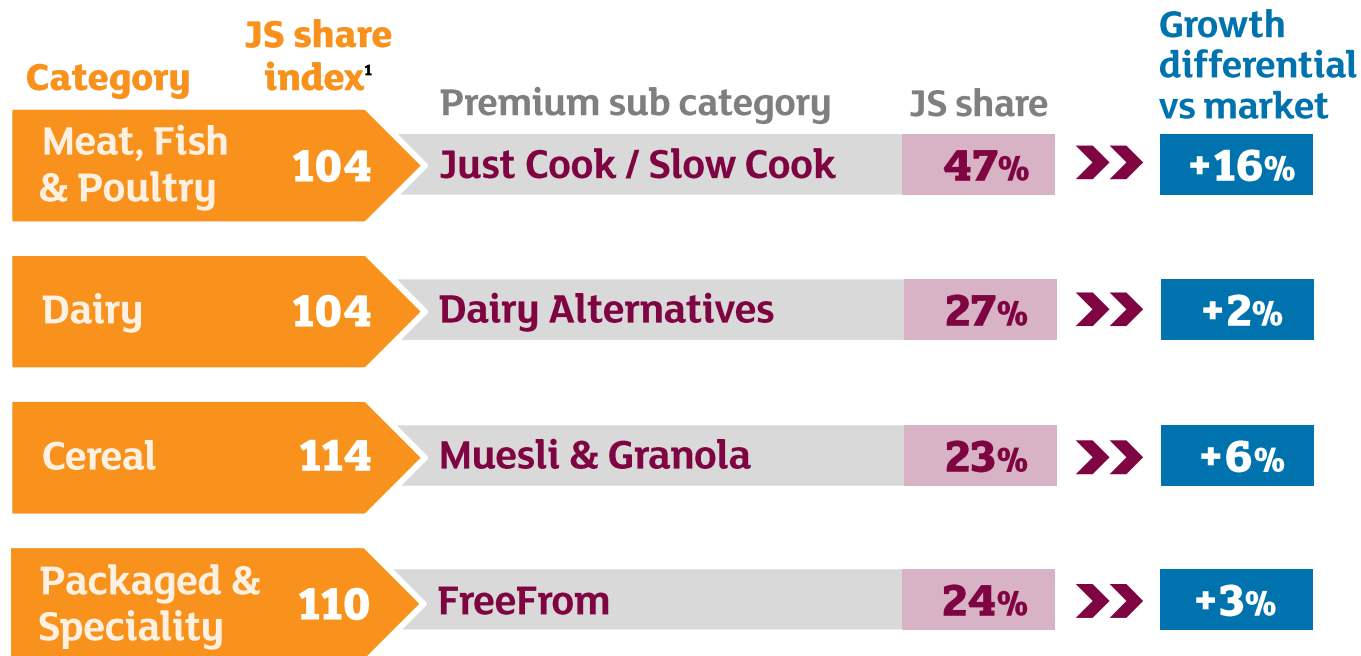
Q10 Thinking about the following supermarket brands, which supermarkets do you think... [tick all that apply]

Core competitor average: Tesco, Asda, Morrisons, Aldi & Lidl

Competitor average: Tesco, Asda, Morrisons, Aldi, Lidl, Waitrose & M&S

Outperformance in premium products

Driving ASP and strengthening margin mix advantage



1

Differentiate food and grocery through **quality, value** and **service**

Deliver distinctive and exclusive products

Source: Nielsen EPOS Data Market Universe: Grocery Multiples, 52 wks data to we 9 March 2019

¹ Index relative to Sainsbury's total food market share of 16.6%

Quality

Market leading quality at competitive prices

Taste the Difference

- £1.2bn brand
- 2% volume and value growth

Owned brands

- Boutique cosmetics
- Sales +80% since 2018 relaunch
- Winning with a younger demographic



Distinctive brands

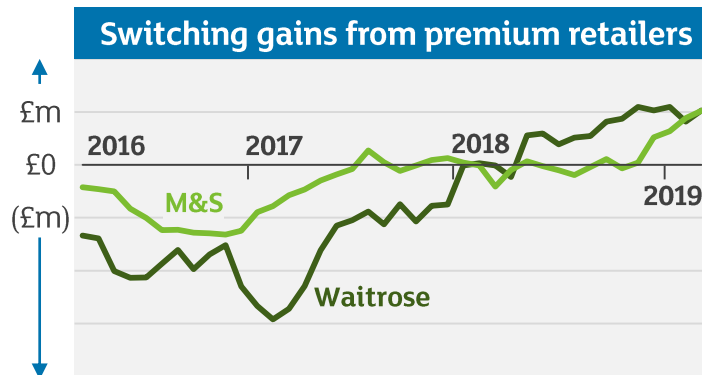
- 126 Distinctive Brands now in stores
- c.£130m annualised sales
- Exclusive, highly incremental (>50%)



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Differentiate food and grocery through **quality, value** and **service**

Deliver distinctive and exclusive products

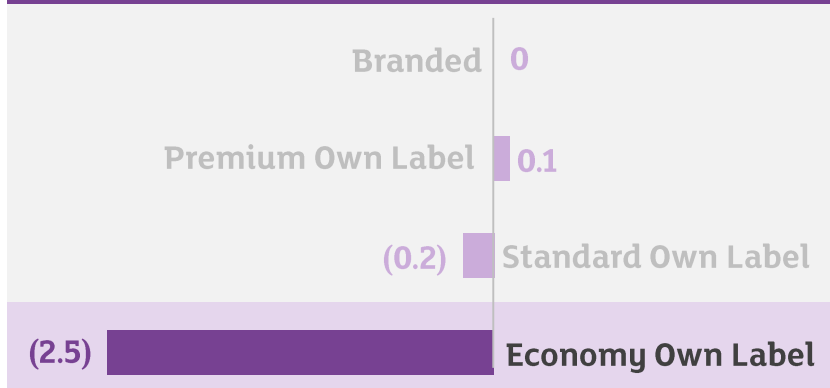


Source: Kantar Total FMCG, 52we 24 February 2019

Value

Entry price point

Market share change (volume) 2017/18 - 2018/19 (%)



Source: Nielsen Panel, Total FMCG, Market universe; Total Outlets, 52 weeks data to 9 March 2019

J.JAMES
— & FAMILY —

Case study

Two new breaded chicken products

- 30% of volume from new customers to the category
- 50% from customers switching down from standard products
- Total breaded chicken sales up 9%
- Volume and profits both up double digit
- Products over-index with “value for money” shopper group



1

Differentiate food and grocery through **quality, value** and **service**

Be competitive on commodity product

Supermarkets

800,000 sq ft repurposed in the last four years

Investing in stores

- Tailored, targeted investment
- Significant step-up in 2019/20
 - Investing in 400+ supermarkets
 - New format, concession or upgrade

Serving new customer missions

- Beauty trials
 - 8 stores live, sales +40%
 - Roll out to at least 90 stores in 2019/20
- Wellness aisles
- Food service investments
- Integrated general merchandise and clothing

1 52 weeks to 9 March 2019 compared to 52 weeks to 10 March 2018

2 General Merchandise space, sales and sales per sq ft exclude standalone Argos stores

YoY Sales per sq ft Change^{1,2} 2017/18 - 2018/19 (%)



1

Differentiate food and grocery through **quality, value** and **service**

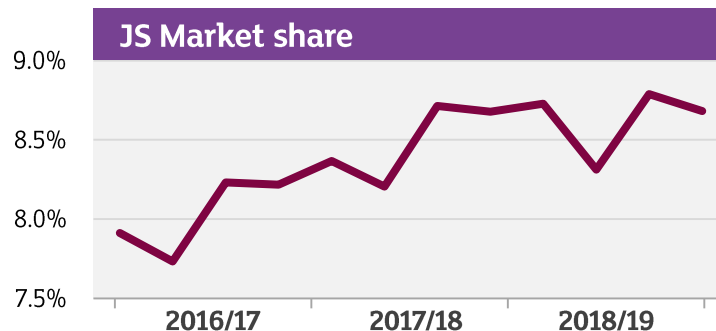
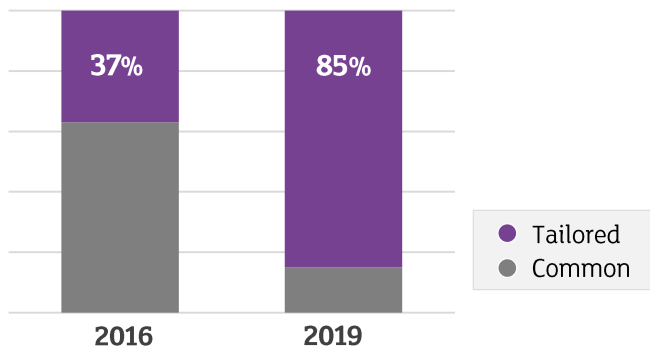
Serve new food and grocery mission

Channels

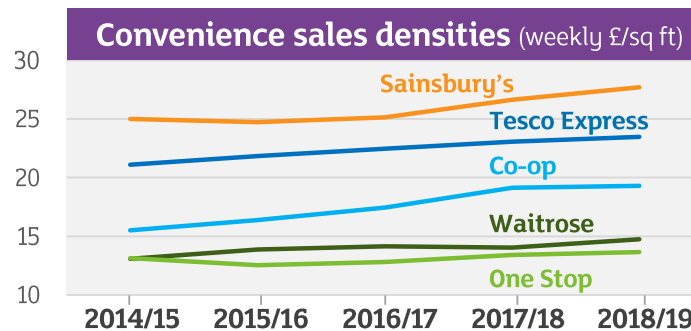
Convenience

- Advantaged store estate
- Market-leading sales densities
- 2 year capital light programme resetting range, space and pricing
 - Driving strong LfL and market outperformance
 - Sales growth of 3.7%

Tailoring ranges to local needs



Source: Nielsen EPOS Convenience Total Business, Quarterly data to Q4 18/19, Units



Source: IGD

1

Differentiate food and grocery through **quality, value** and **service**

Consistent experience across channels

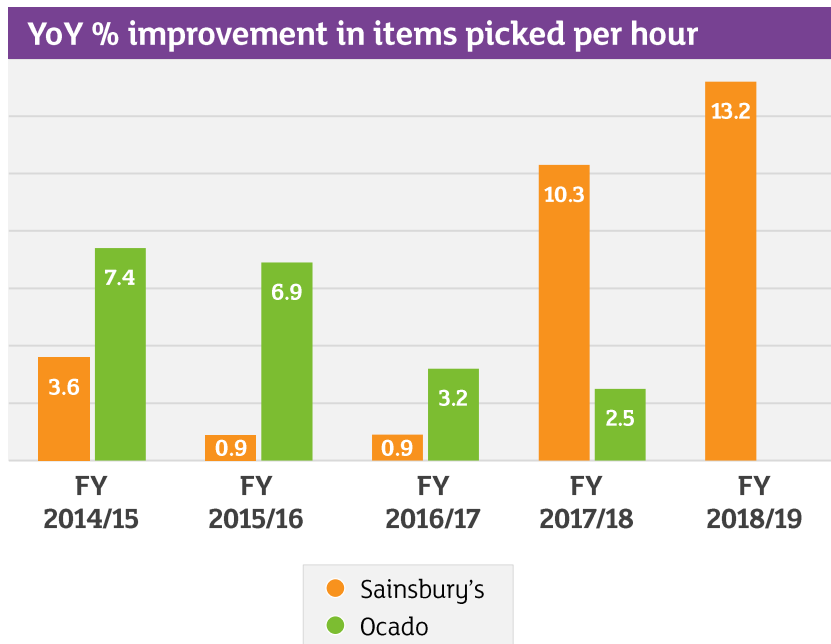
Channels

Groceries online

- Sales growth of 6.9%
- Same day delivery now covers nearly 60% UK of households
- GOL app accounts for over 20% of orders

Improving productivity

- Over the last five years:
 - 32% improvement in pick rate
 - Total cost per order 9% lower
 - Delivery cost down
 - Labour cost down despite wage inflation



1

Differentiate food and grocery through **quality, value** and **service**

Consistent experience across channels

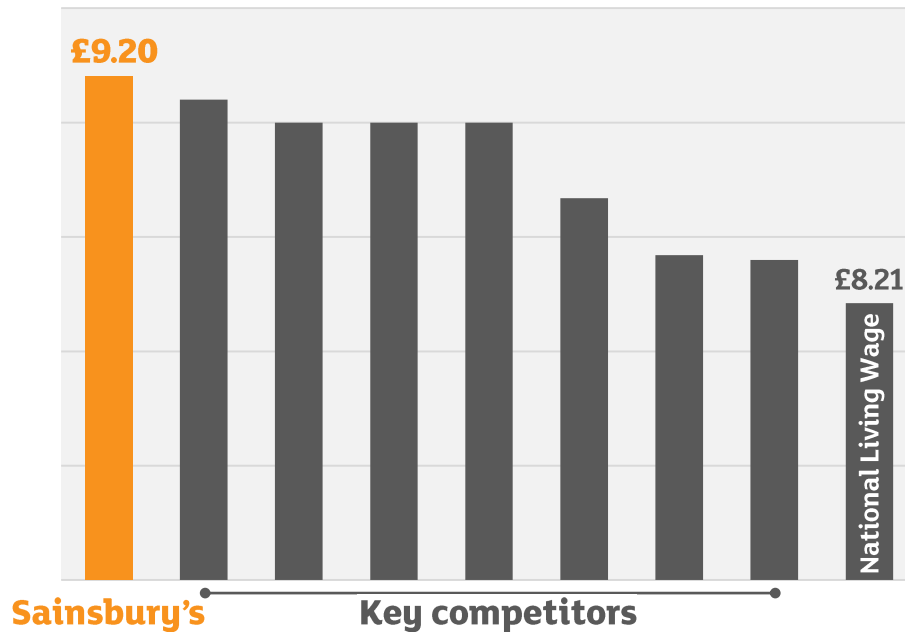
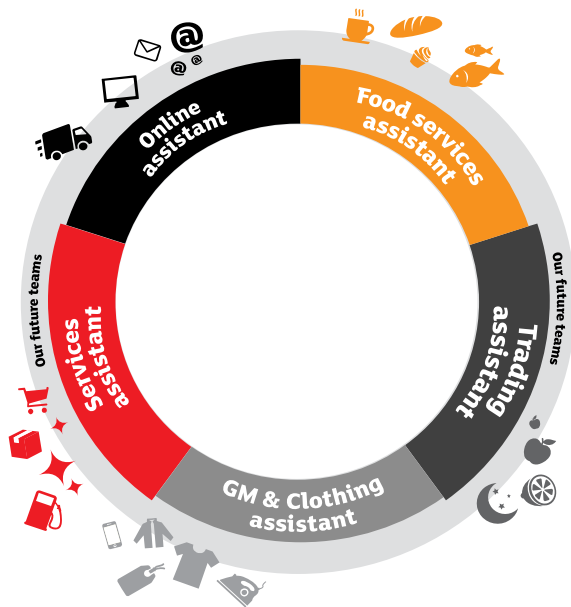
Colleagues making the difference

Changing the in-store operating model

1

Differentiate food and grocery through **quality, value and service**

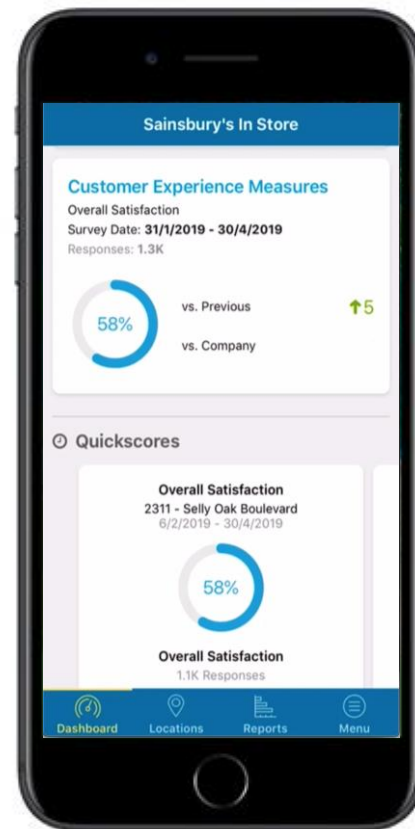
Colleagues making the difference



Future fit

Reset our in-store operating model

- Lower cost to lead
- Customer-focused leadership teams
- More flexible, simple structures
- Strong levels of colleague and leader engagement
- Lettuce Know
 - Real time, detailed customer feedback on in store service
 - 1 million points of customer feedback since November
 - Replaces single monthly mystery shopper visit



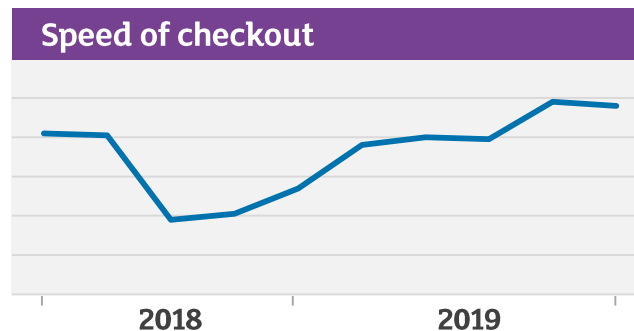
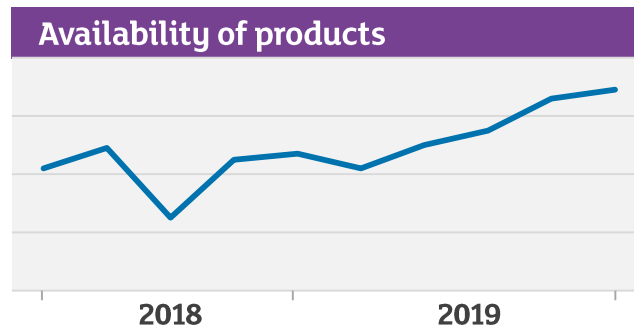
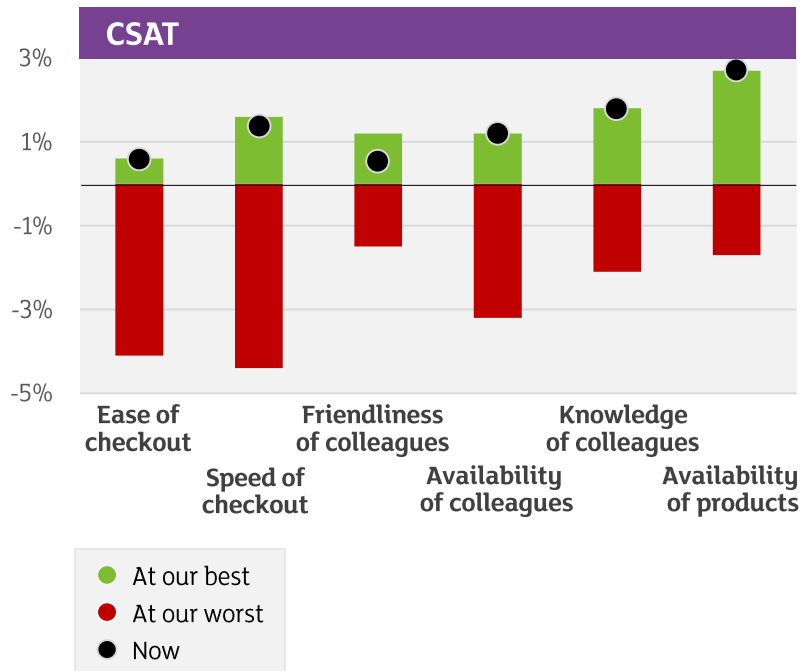
1

Differentiate food and grocery through **quality, value and service**

Colleagues making the difference

Customer service

Customers are telling us we are improving



Source: Lettuce Know customer satisfaction programme, date range: August 2018 – April 2019.

Our values make us different

2018/19 progress on our 2020 commitments includes

Living healthier lives

78% of our own brand products are labelled with Green and amber traffic lights

Sourcing with integrity

Winner of the Marine Stewardship Council's UK Supermarket of the Year for the fifth year

Respect for our environment

100 million+ items sold with reduced or zero plastic packaging through design changes, with further reductions in the pipeline

Making a positive difference to our community

Great place to work

150 Sainsbury's
Est. 1869

Colleagues will be getting out into their local community to make a difference to the causes that matter most to them – building on what our business has done since its founding in 1869

And there will be celebrations in store for customers to get involved with too



Summary

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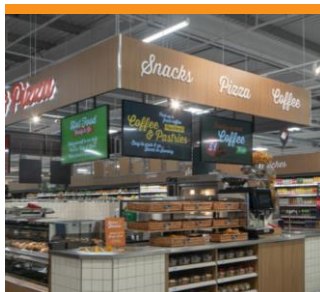
Differentiate food and grocery through **quality, value** and **service**



Be competitive
on commodity product



Deliver distinctive
and **exclusive**
products



Serve **new**
food and
grocery
missions



Consistent
experience
across channels



Colleagues
make the
difference
with personal
service

2

Grow **General Merchandise and Clothing**



General Merchandise

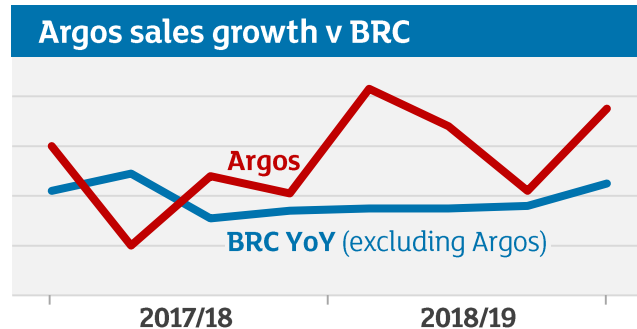
Strong Argos performance, Sainsbury's ranging optimised

- Strong Argos sales performance in a weak market
 - Electricals, Toys, Leisure & Nursery strong
 - Home and Furniture challenging
- Sainsbury's General Merchandise sales down
 - Replacing space with Argos stores
 - Rebalancing ranges away from lower margin products

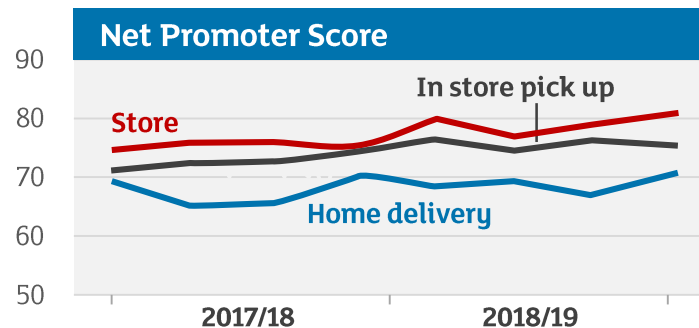
Argos

- Improved availability
 - Breadth of choice immediately versus depth
 - More range available immediately across the estate
- Growth in customer satisfaction scores
 - Up to 8th from 46th in the ICS Index¹

¹ The Institute of Customer Service, UK Customer Satisfaction Index ranking, January 2019



Source: Argos v BRC non-food non-clothing market, 52 weeks to 9 March 2019



Source: Net promoter score

Argos

Enhancing the customer proposition

Range

- Argos master range reduced by 26%
 - Eliminating duplication, removing low value items
- Leveraging group assets
 - 4,000 lines now common across Sainsbury's and Argos

Technology

- 476 digital stores¹
- Pay @ Browse in 162 stores
- Visual search, voice enabled shopping



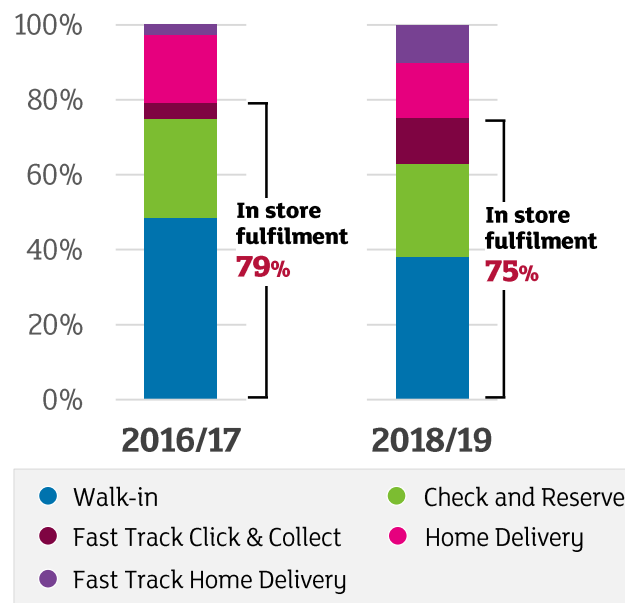
¹ Including Argos SiS

Continued transformation of the store estate

1200 Argos points of presence

	At acquisition		FY 18/19	
Argos stores ¹	823	-221	602	-27%
Argos in Sainsbury's	13	+268	281	
Total Argos stores	836	+47	883	+6%
Collection points	3	+314	317	
Total Argos points of presence	839	+361	1,200	+43%

Argos fulfilment by channel



¹ Includes Argos stores in Homebase - 97 at acquisition and 8 at FY 18/19

Clothing

Strong full price sales growth

- Gaining market share¹
- Strong online growth
 - Launch of *Tu@Argos*
- Full price sales growth 12%
 - 20% fewer promotion days year on year
 - total sales down 0.8%



¹ Kantar World Panel 52 w/e 10 March 2019

3

Offer our
customers
**easy access
to financial
services**



Financial services

Offer Sainsbury's and Argos customers easy access to financial services

- Well positioned
 - Customer data
 - Group value from integrated proposition
- Technology helping our customers manage their money better
 - Apps for Argos store card, credit card, car and home insurance
- Capital light income growth; travel money, insurance, cards and ATMs

Mortgages

Simple, flexible and with great shopping rewards too



Argos storecard app

- Over 1.2m registered customers
- Digital statements launched July with 0.6m active customers
- 45% of all repayments



4

Generate
efficiencies
to invest in
our digital
future



Generating efficiencies

Reducing operating costs to invest in our customer proposition

£220m of cost savings delivered in 2018/19

- Labour
- Marketing
- Digital & Technology
- Logistics

Further opportunities; bringing our businesses closer together

- Delivering cost savings, making us more effective

Digital

Investing in our digital proposition

SmartShop

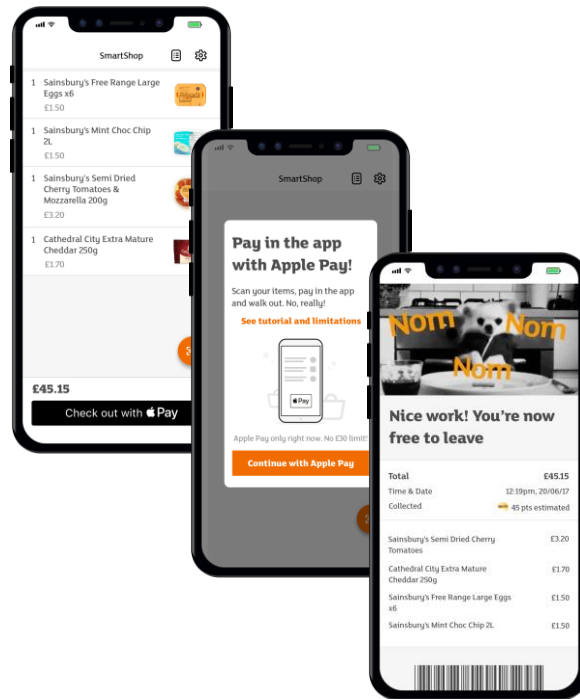
- SmartShop in over 100 stores
- Now rolling out nationally
- Mobile pay in 8 convenience stores
- Scaling across the country over the next year

Argos

- Pay @ Browse in 162 stores
- 650 digital stores by the end of 19/20

Unique depth of customer data

- Single sign on
- 33m unique customer records
- Nectar allows incentivisation across the Group

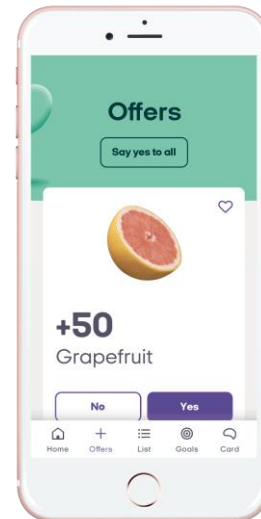


Nectar

We know our customers better than anyone else

Nectar

- Biggest loyalty programme in the UK
- 18.5 million collectors
- Most recognised loyalty brand in the UK
- App base 1.2 million regular users +8% YoY
- Digitalisation trial in Wales – personalised rewards; roll out planned
- 5 major partners re-signed, new partners joined through the year, including
 - Esso
 - Lloyds Pharmacy
 - EE
 - Europcar



5

Strengthen the balance sheet

98 Financial Statements

J Sainsbury plc Annual Report 2019

Consolidated balance sheet
At 9 March 2019 and 10 March 2018

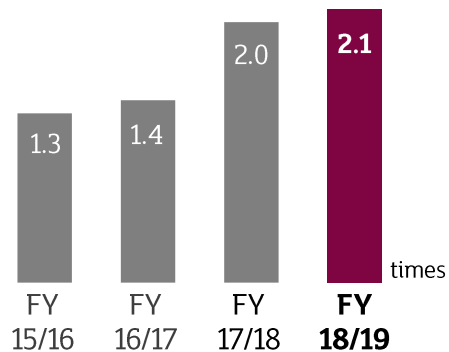
	Note	2019 £m	2018 £m
Non-current assets			
Property, plant and equipment	11	9,708	9,898
Intangible assets	12	1,044	1,072
Investments in joint ventures and associates	13	205	232
Financial assets at fair value through other comprehensive income	14	645	540
Other receivables	16a	33	44
Amounts due from Financial Services customers	16b	3,349	2,332
Derivative financial instruments	25	9	17
Net retirement benefit surplus	30	959	-
		15,952	14,135
Current assets			
Inventories	15	1,929	1,810
Trade and other receivables	16a	661	744
Amounts due from Financial Services customers	16b	3,638	3,360
Financial assets at fair value through other comprehensive income	14	211	203
Derivative financial instruments	25	21	10
Cash and cash equivalents	26	1,121	1,730
	17	7,581	7,857
Assets held for sale		8	9
		7,589	7,866
Total assets		23,541	22,001

Strengthening the balance sheet

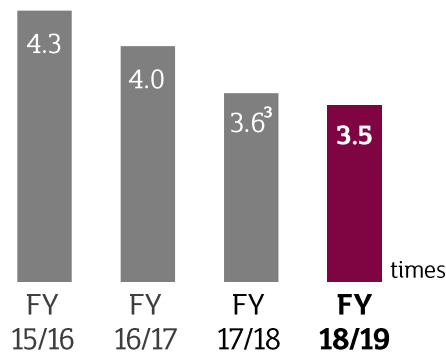
Stronger dividend coverage, reduced leverage

- Net debt reduction of at least £600m over the next three years
- Strong cash dividend cover
- Accelerating disciplined, targeted investment in core supermarket estate

Improving cash dividend cover



Reduced leverage



**Lease adjusted net debt /
underlying EBITDAR^{1,2}**
(Rolling 52 weeks)

¹ Accounting for the perpetual securities as debt

² Net debt plus capitalised lease obligations (5.5% discount rate) divided by Group underlying EBITDAR

³ 2017/18 lease adjusted net debt/EBITDAR reported as 3.5. 2017/18 capitalised lease obligations of £5,931 million have been updated following a review of lease cost profile. This does not impact total lease obligations of £10 billion

Summary

1

Differentiate food and grocery through **quality, value and service**

2

Grow **General Merchandise and Clothing**

3

Offer our customers **easy access to financial services**

4

Generate **efficiencies to invest in our digital future**

5

Strengthen the balance sheet

150 Sainsbury's
Est. 1869



Q&A

J Sainsbury plc

Appendices

Guidance for 2019/20¹

Space

- Expect to open two new Sainsbury's supermarkets and around 10 convenience stores
- Expect to open around 10 Argos stores in supermarkets (of which around three are relocations) resulting in around 290 Argos stores in supermarkets

Depreciation and amortisation

- Expect depreciation and amortisation of around £720m

Financial Services

- Financial services underlying operating profit expected to be around £45m, including a £10m benefit as a result of a change in transfer pricing between Argos and Argos Financial Services
- Sainsbury's Bank transition costs are expected to be around £30m
- Capital injections into the Bank are expected to be £80m

One-off items

- In 2019/20 cash outflows as a result of items excluded from underlying results should not exceed £100m
- Sainsbury's Bank transition costs expected to be around £30m

Finance costs

- Expect net finance costs to be in line with 2018/19

Costs

Operating cost inflation

- Cost inflation around 3%

Cost savings

- Continue to deliver cost savings to at least offset the impact of cost inflation

Dividend

- Fixed at 2.0x cover by underlying earnings in 2019/20

Capital expenditure

- Gross retail capital expenditure to be around £550m
- Proceeds from disposal of property are expected to be in line with 2018/19
- Gross retail capital expenditure is expected to remain around £550m per annum over the medium term

Net debt

- Net debt before fair value movements on derivatives to reduce by at least £200m

Tax rate

- Underlying tax rate to be around 24%

¹ Unless otherwise stated, all other forward guidance is stated before the impact of IFRS16

Sainsbury's sales area and store numbers

As at 9 March 2019

Supermarkets

	Area (‘000 sq ft)	Number
Opening figures 2018/19	21,296	608
New stores	158	3
Closures	(53)	(3)
Replacement stores	-	-
Extensions	-	-
Refurbishments / downsizes	(191)	173
Closing figures 2018/19	21,210	608

Convenience

	Area (‘000 sq ft)	Number
Opening figures 2018/19	1,913	815
New stores	29	10
Closures	(9)	(5)
Replacement stores	-	-
Extensions	1	1
Refurbishments / downsizes	-	2
Closing figures 2018/19	1,934	820

Total

	Area (‘000 sq ft)	Number
Opening figures 2018/19	23,209	1,423
New stores	187	13
Closures	(62)	(8)
Replacement stores	-	-
Extensions	1	1
Refurbishments / downsizes	(191)	175
Closing figures 2018/19	23,144	1,428

Sainsbury's store estate

As at 9 March 2019

Number of stores

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	819	1	0	0	0	820
Supermarkets	45	123	198	173	69	608
Total stores	864	124	198	173	69	1,428

Space by store size ('000 sq ft)

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	1,923	11	-	-	-	1,934
Supermarkets	350	1,864	5,818	8,390	4,788	21,210
Total stores	2,372	1,875	5,818	8,390	4,788	23,144

Argos and Habitat store numbers

	As at 10 March 2018	New stores	Disposals/ closures	As at 9 March 2019
Argos stores	639	1	(46)	594
Argos in Sainsbury's	191	90	-	281
Argos in Homebase	14	-	(6)	8
Other	-	-	-	-
Argos total store numbers	844	91	(52)	883
Habitat	16	2	(2)	16
Collection points	192	169	(44)	317

Sainsbury's investment programme

2018/19

Supermarkets

New stores

Kendal	Q3
Selly Oak	Q3
Herne Bay, Altira Park	Q3

Refurbishment

Tottenham	Q1
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Closures

Acocks Green	Q1
Birchfields Road	Q1
Selly Oak	Q3

Convenience

New stores

Winchburgh	Q1
Leeds - Wellington Place	Q2
Cambridge - Trumpington Meadow	Q2
Acton Gardens	Q3
Hackney, Clissold Quarter	Q3
Catford Station	Q3
East Finchley, High Road	Q3
Kidbrooke Village	Q4
Camden, York Way	Q4
Ascot, High Street	Q4

Refurbishment

Brecks	Q1
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Extension

Tunbridge Wells, Mount Pleasant	Q4
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Closures

Royston	Q2
Guys Hospital, Great Maze Pond	Q3
Acton, Palmerston Road	Q3
Greenwich, Kidbrooke Park Local	Q3
Edinburgh, Corstophine Local	Q3

Retail margin

£m	2018/19	2017/18	Change
Retail sales (inc VAT, inc fuel)	31,871	31,220	▲ 2.1%
(exc VAT, inc fuel)	28,466	27,938	▲ 1.9%
Retail underlying EBITDAR¹	2,140	2,078	▲ 3.0%
Retail underlying EBITDAR margin %²	7.52	7.44	▲ 8 bps
at constant fuel prices	7.59	7.44	▲ 15 bps
Retail underlying operating profit³	692	625	▲ 10.7%
Retail underlying operating margin %⁴	2.43	2.24	▲ 19 bps
at constant fuel prices	2.45	2.24	▲ 21 bps

¹ Retail underlying operating profit before rent of £733 million (2017/18: £740 million) and underlying depreciation and amortisation of £715 million (FY17/18: £713 million)

² Retail underlying EBITDAR divided by underlying retail sales excluding VAT

³ Retail underlying earnings before interest, tax and Sainsbury's underlying share of post-tax profit from joint ventures

⁴ Retail underlying operating profit divided by underlying retail sales excluding VAT

Retail margins and returns

Retail underlying EBITDAR margin %¹

2014/15	7.76
2015/16	7.58
2016/17	7.40
2017/18	7.44
2018/19	7.52

Retail underlying operating margin %¹

2014/15	3.07
2015/16	2.74
2016/17	2.42
2017/18	2.24
2018/19	2.43

Return on capital employed %²

2014/15	9.7
2015/16	8.8
2016/17	8.8
2017/18	8.4
2018/19	8.5

Pension adjusted return on capital employed %²

2014/15	9.0
2015/16	8.3
2016/17	8.0
2017/18	7.7
2018/19	8.5

¹ Not fuel adjusted

² 52 weeks rolling earnings before interest and tax divided by average equity and net debt

Underlying finance costs and tax rate

Underlying finance costs including perpetual securities coupon¹

£m	2018/19	2017/18
Net finance cost	(96)	(119)
Net interest cover	7.6x	5.9x
Fixed charge cover	2.7x	2.5x

Underlying finance costs excluding perpetual securities coupon¹

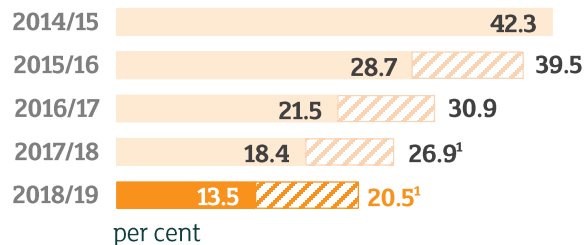
£m	2018/19	2017/18
Net finance cost	(73)	(96)
Net interest cover	10.1x	7.4x
Fixed charge cover	2.7x	2.6x
Underlying tax rate	23.8%	24.1%

¹ Underlying finance costs and ratios are stated inclusive of the perpetual securities coupons of £23m. For statutory purposes the perpetual securities are accounted for as equity and the coupons are treated as dividends.

Balance sheet

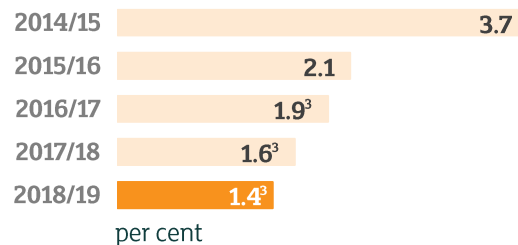
Balance sheet gearing

(Net debt / total equity)



Core retail capex/sales

(Core retail capex / sales inc fuel inc VAT)²



¹ For statutory purposes the perpetual securities will be accounted for as equity and the coupons will be treated as dividends

Accounting for the perpetual securities as equity, gearing is 13.5% (2017/18: 18.4%). Treating the perpetual securities as debt, gearing is 20.5% (2017/18: 26.9%)

² Core retail capex net of proceeds on disposal

³ 2016/17 onwards includes Argos core retail capex

Plc Board



Martin Scicluna
Chairman



Mike Coupe
Group Chief Executive



Kevin O'Byrne
Chief Financial
Officer



John Rogers
Chief Executive Officer
of Sainsbury's Argos



Dame Susan Rice
Senior
Independent Director



Jean Tomlin
Non-Executive Director



David Keens
Non-Executive Director



Matt Brittin
Non-Executive Director



Brian Cassin
Non-Executive Director



Jo Harlow
Non-Executive Director

Plc Board

Martin Scicluna **Chairman**

Date of appointment: 1 November 2018.
Martin joined the Board as Chairman Designate and Non-Executive Director on 1 November 2018. He was appointed as Chairman of the Board on 10 March 2019.

Committee membership

Chair of the Nomination Committee.

Skills and experience

Martin brings a breadth of experience and leadership in both executive and non-executive roles. His previous roles include positions as the Chairman of Great Portland Estates plc, Senior Independent Director and Chair of the Audit Committee of Worldpay Inc., and Non-Executive Director and Chair of the Audit Committee of Lloyds Banking Group plc. He was a partner at Deloitte LLP for 26 years, serving as Chairman from 1995 to 2007, where his clients included Dixons, WH Smith, Alliance Unichem and Cadbury's.

Other current roles

Chairman of RSA Insurance Group plc.

Mike Coupe **Group Chief Executive Officer**

Date of appointment: 1 August 2007
Mike has served as an Executive Director since 1 August 2007 and as Chief Executive Officer since 9 July 2014

Committee membership

Corporate Responsibility and Sustainability Committee

Skills and experience

Appointed Group Chief Executive Officer on 9 July 2014, Mike has been a member of the Operating Board since October 2004. Mike has vast retail industry experience in trading, strategy, marketing, digital and online as well as multi-site store experience. He joined Sainsbury's from Big Food Group where he was a board director of Big Food Group PLC and Managing Director of Iceland Food Stores. He previously worked for both Asda and Tesco PLC, where he served in a variety of senior management roles.

Other current roles

Non-Executive Director of Greene King plc.

Kevin O'Byrne **Chief Financial Officer**

Date of appointment: 9 January 2017

Skills and experience

Kevin brings to the Board a wealth of retail and finance experience. Kevin was previously Chief Executive Officer of Poundland Group Limited until December 2016 and held executive roles at Kingfisher plc from 2008 to 2015, including Divisional Director UK, China and Turkey, Chief Executive Officer of B&Q UK & Ireland and Group Finance Director. He was previously Group Finance Director of Dixons Retail plc and European Finance Director of Quaker Oats. He was a Non-Executive Director of Land Securities Group PLC from 2008 to September 2017 where he was Chairman of the Audit Committee and Senior Independent Director.

John Rogers **Chief Executive Officer of Sainsbury's Argos**

Date of appointment: 19 July 2010
19 July 2010. John served as Chief Financial Officer of J Sainsbury plc from 19 July 2010 until 5 September 2016 when he was appointed as Chief Executive Officer of Sainsbury's Argos.

Skills and experience

John has extensive experience in finance, strategy, digital, online, property and financial services. As Chief Financial Officer of J Sainsbury plc for six years, John had responsibility for finance, Group strategy, Sainsbury's online, business development, property, procurement and operational efficiency. He also held various senior management roles in the Company between 2005 and 2010. John is a member of the Sainsbury's Bank plc Board. Prior to Sainsbury's, John was Group Finance Director for Hanover Acceptances, a diversified corporation with wholly owned subsidiaries in the food manufacturing, real estate and agri-business sectors.

Other current roles

Non-Executive Director of Travis Perkins plc and Member of the Retail Sector Council.

Plc Board

Dame Susan Rice **Senior Independent Director**

Date of appointment: 1 June 2013

Committee membership

Chair of the Remuneration Committee and a member of the Nomination Committee.

Skills and experience

Susan has extensive experience as a Non-Executive Director, as well as in retail banking, financial services, leadership and sustainability. Her career in retail banking is particularly relevant to our ownership of Sainsbury's Bank. Previously, Susan was a member of the First Minister's Council of Economic Advisors, Managing Director of Lloyds Banking Group Scotland and was previously Chief Executive and then Chairman of Lloyds TSB Scotland plc. She has also held a range of other non-executive directorships including at the Bank of England and SSE plc.

Other current roles

Chair of Scottish Water and Business Stream; Chair of the Scottish Fiscal Commission; Non-Executive Director of the North American Income Trust, C. Hoare and Co.; and Senior Independent Director of the North American Income Trust.

Jean Tomlin **Non-Executive Director**

Date of appointment: 1 January 2013

Committee membership

Audit Committee, Corporate Responsibility and Sustainability Committee and Nomination Committee.

Skills and experience

Jean has extensive experience and breadth of skills in human resources and corporate responsibility. Jean was formerly Director of HR, Workforce and Accreditation for The London Organising Committee of the Olympic and Paralympic Games, where she set the strategic direction to ensure the mobilisation of the combined 200,000-strong workforce including paid staff, volunteers and contractors, which represented the recruitment and mobilisation of the largest peacetime workforce and set the industry standard for volunteering with the highly acclaimed Games. She was previously Group HR Director at Marks and Spencer Group Plc, HR Director and founder member of Egg plc and Sales & Operations Director of Prudential Direct.

Other current roles

Independent Board member of Capri Holdings Limited, Non-Executive Director of Hakluyt and Chief Executive Officer of Chanzo Limited.

David Keens **Non-Executive Director**

Date of appointment: 29 April 2015

Committee membership

Chair of the Audit Committee and a member of the Nomination Committee

Skills and experience

David has extensive retail experience and knowledge of consumer facing businesses, together with his core skills in finance. David was formerly Group Finance Director of next plc from 1991 to 2015 and their Group Treasurer from 1986 to 1991. Previous management experience includes nine years in the UK and overseas operations of multinational food manufacturer Nabisco and, prior to that, seven years in the accountancy profession.

Other current roles

Non-Executive Director, Senior Independent Director and Chair of the Audit Committee of Auto Trader Group plc.

Matt Brittin **Non-Executive Director**

Date of appointment: 27 January 2011

Committee membership

Nomination Committee and Remuneration Committee.

Skills and experience

Matt has extensive experience of running a high profile, fast moving, innovative, digital business. Since 2015, he has been responsible for Google's business and operations in Europe, the Middle East and Africa and he's been in leadership roles at Google since 2007. Prior to that, Matt spent much of his career in media and marketing, with particular interests in strategy, commercial development and sales performance. This included commercial and digital leadership roles in UK media.

Other current roles

Google's President – Europe, Middle East and Africa and Director of The Media Trust.

Plc Board

Brian Cassin **Non-Executive Director**

Date of appointment: 1 April 2016

Committee membership

Audit Committee and Nomination Committee

Skills and experience

Brian brings present day experience of running a FTSE40 group and of big data and analytics – topics of key importance to Sainsbury's. Brian joined Experian plc as Chief Financial Officer in April 2012, a post he held until his appointment as Chief Executive Officer in July 2014. Prior to this, Brian spent his career in investment banking at Greenhill & Co where he was Managing Director and Partner. Brian has also held various roles at Baring Brothers International and at the London Stock Exchange.

Other current roles

Chief Executive Officer of Experian plc

Jo Harlow **Non-Executive Director**

Date of appointment: 11 September 2017

Committee membership

Chair of the Corporate Responsibility and Sustainability Committee and member of the Nomination Committee and Remuneration Committee.

Skills and experience

Jo brings a wealth of experience in consumer-facing businesses and in the telecoms and technology industry, both in the UK and internationally. Jo spent 12 years in a variety of senior management roles with Nokia and Microsoft. Prior to this, she spent eight years at P&G and 11 years at Reebok in senior sales and marketing positions in both Europe and the US.

Other current roles

Non-Executive Director of InterContinental Hotels plc; Non-Executive Director of Halma plc; and Member of the Supervisory Board of Ceconomy AG.

Life President **Lord Sainsbury of** **Preston Candover KG**

Operating Board



Mike Coupe
Group Chief Executive



Kevin O'Byrne
Chief Financial Officer



John Rogers
Chief Executive Officer of
Sainsbury's Argos



Tim Fallowfield
Company Secretary &
Corporate Services Director



Peter Griffiths, OBE
Chief Executive Officer of
Sainsbury's Bank



Paul Mills-Hicks
Food Commercial Director



Angie Risley
Group HR Director



Phil Jordan
Group Chief Information
Officer



Simon Roberts
Retail and
Operations Director



Clo Moriarty
Group Chief Digital Officer

Operating Board

Mike Coupe
Group Chief Executive
See Appendix page 10

Kevin O'Byrne
Chief Financial Officer
See Appendix page 10

John Rogers
Chief Executive Officer of Sainsbury's Argos
See Appendix page 10

Tim Fallowfield
Company Secretary & Corporate Services Director

Date of appointment: September 2004

Skills and experience

Tim joined Sainsbury's in 2001 as Company Secretary and joined the Operating Board in September 2004. In addition to his role as Company Secretary, Tim is responsible for the Corporate Services Division comprising Legal Services, Data Governance, Safety, Shareholder Services, Insurance and Central Security. He chairs the Group Safety Committee and the Data Governance Committee. Tim joined Sainsbury's from Exel plc, the global logistics company, now part of DHL, where he was Company Secretary and General Counsel. He began his career at the international law firm Clifford Chance and is a qualified solicitor. Tim is Chairman of the Disability Confident Business Leaders Group which works with Government in shaping the disability employment agenda and in raising awareness of the benefits of employing disabled people.

Peter Griffiths, OBE
CEO of Sainsbury's Bank

Date of appointment: May 2014

Skills and experience

Peter was appointed CEO of Sainsbury's Bank in November 2012 and joined the Operating Board in May 2014. Prior to joining Sainsbury's he was Group Chief Executive of Principality, the largest building society in Wales, growing it from the 13th largest building society in the UK to the 7th during his decade in charge. He previously worked for NatWest, and was Chief Operating Officer at Morgan Chambers Plc. He is former Chairman of the CBI Wales and the Building Societies Association, and is a Fellow of UWIC and The Chartered Institute of Management. Peter was awarded an OBE in the Queen's Birthday Honours 2010, in recognition of his support for the Financial Services Industry. Peter will be stepping down from the Operating Board and leaving the business in 2020.

Paul Mills-Hicks
Food Commercial Director

Date of appointment: May 2014

Skills and experience

Paul joined the Operating Board in May 2014 as Food Commercial Director having spent over ten years at Sainsbury's. He was closely involved in the formation and execution of the 'Making Sainsbury's Great Again' strategy. Following this he held a variety of roles in commercial, strategy and finance, most recently as Business Unit Director for Grocery. Prior to Sainsbury's, Paul was European Controller at Marks and Spencer Group PLC and a Director at UBS Warburg.

Operating Board

Angie Risley **Group HR Director**

Date of appointment: January 2013

Skills and experience

Angie was appointed Group HR Director and a member of the Operating Board in January 2013 with responsibility for human resources. Angie is also a Director of Sainsbury's Bank plc. Angie was most recently Non-Executive Director and Chairman of the Remuneration Committee of Serco plc, and prior to this was Group HR Director of Lloyds Banking Group and an Executive Director of Whitbread PLC with responsibility for HR and Corporate Social Responsibility. Angie is currently Non-Executive Director and Chair of the Remuneration Committee at Smith & Nephew plc.

Phil Jordan **Group Chief Information Officer**

Date of appointment: January 2018

Skills and experience

Phil joined the Board in January 2018 and has brought a fresh, global perspective on technology to the Operating Board in addition to a wealth of experience in digital, data and business transformation. Prior to joining Sainsbury's, Phil had a long and successful track record in telecommunications. Most recently he was Global Chief Information Officer at Telefonica overseeing Digital Transformation and Information Technology and prior to that was Chief Information Officer for Vodafone UK/Ireland. Phil has worked as a Non-Executive Advisor on Technology in the Investment & Retail Banking sector and is currently a Non-Executive Director of TalkTalk Telecom Group PLC and chairs its Cyber-Security Committee.

Simon Roberts **Retail and Operations Director**

Date of appointment: July 2017

Skills and experience

Simon joined Sainsbury's and the Operating Board in July 2017 as Central Retail & Operations Director responsible for Stores, Central operation and Logistics. In his previous role he was Executive Vice President of Walgreens Boots Alliance, and President of Boots with responsibility for commercial and retail operations across the UK and Ireland. Prior to Boots, Simon was at Marks and Spencer Group PLC, where he held operational and customer leadership roles across stores, divisions and central operations. Simon is also the Non-Executive Chairman at the Institute of Customer Service.

Clodagh Moriarty **Group Chief Digital Officer**

Date of appointment: June 2018

Skills and experience

Clodagh was appointed Group Chief Digital Officer in June 2018. Clodagh leads the delivery of a consistent and first-rate digital experience for customers across Sainsbury's, Argos and Sainsbury's Bank. Clodagh joined Sainsbury's in 2010 from Bain & Co management consultants, where she had gained experience working on a broad range of projects across multiple sectors and countries. Following two years as Head of Strategy at Sainsbury's, she moved into Food Commercial as Category Manager for Meal Solutions and then became Head of Online Trading, spanning Food, General Merchandise and Clothing, before being promoted to Director of Online in 2016. In this role Clodagh was instrumental in driving innovation within Groceries Online and launching new initiatives including SmartShop and Chop Chop.

Supplementary financial details

1. Weighted average number of shares

2018/19: 2,197.6m (2,468.6m diluted)

2017/18: 2,186.2m (2,429.8m diluted)

2. Dividend

	2018/19	2017/18
Interim	3.1p	3.1p
Final	7.9p	7.1p
Total	11.0p	10.2p

The final dividend dates:

	Ordinary shares
Ex-dividend	6 June 2019
Record	7 June 2019
Payment	12 July 2019

3. Financial calendar

Q1 trading statement 3 July 2019
(16 weeks to 29 June 2019)

Interim results 7 November 2019
(28 weeks to 21 September 2019)

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